



Bill Number: H.B. 2755

Dunn SUBSTITUTE Floor Amendment

Reference to: House engrossed bill

Amendment drafted by: Sawyer Bessler

FLOOR AMENDMENT EXPLANATION

1. Requires the Arizona State Land Commissioner (Commissioner) to prioritize the sale of state lands that are subject to an underperforming commercial lease if the lessee provides notice to the Arizona State Land Department (ASLD) that the lessee is willing and prepared to purchase the parcel in fee simple consistent with outlined requirements.
2. Allows a person who holds an underperforming commercial lease or who held an underperforming commercial lease that expired less than one year before the date of application to apply to purchase the underperforming commercial state lands.
3. Requires the Commissioner, within 18 months after receiving an outlined application, to appraise, advertise and cause the underperforming commercial state lands to be sold at public auction to the highest and best bidder.
4. Requires each public auction that the Commissioner holds for underperforming commercial leases to be open to all eligible bidders from all commercial land uses.
5. Prohibits the Commissioner from taking any action during the public auction, or before the public auction, that increases the probability of a bidder from one eligible land use winning the public auction instead of a bidder from another eligible land use.
6. Stipulates that, if an applicant's underperforming commercial lease expires or an applicant applies to renew the underperforming commercial lease during the outlined 18-month time frame and the applicant does not withdraw the application to purchase, the Commissioner must proceed with the auction.
7. Prohibits a person from triggering a public auction on underperforming commercial state lands if the person does not hold, or has not held, an underperforming commercial lease of the state lands subject to application in the previous 18 months before application.
8. Removes the authorization for the Commissioner to renew an existing mineral or mineral materials lease without public auction if prescribed determinations exist.
9. Removes the requirement that to the extent possible, the ASLD restrict the use of a holdover lease to not more than 90 days.

10. Removes the requirement that to the extent possible, the ASLD, for a lease renewal and special land use permit, approve any improvements that are reasonable and customary in the lessee's or permittee's course of business.
11. Requires the ASLD, to the extent possible, to provide ample notice to a lessee of an underperforming commercial lease before the termination of the underperforming commercial lease.
12. Defines terms.
13. Modifies the statement of legislative findings.

DUNN SUBSTITUTE FLOOR AMENDMENT
SENATE AMENDMENTS TO H.B. 2755

I move the following SUBSTITUTE amendment to the NATURAL RESOURCES Committee Amendment to HOUSE BILL 2755 (Reference to House engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

~~[GREEN STRIKEOUT IN BRACKETS]~~ indicates new text removed from statute or previously enacted session law.

~~[Green strikeout in brackets]~~ indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

~~<<Green strikeout in carets>>~~ indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 <<Section 1. Title 27, chapter 2, article 3, Arizona Revised
3 Statutes, is amended by adding section 27-240, to read:

4 27-240. Lease of state lands; minerals; renewal; auction
5 exemption; indexed royalties

6 A. NOTWITHSTANDING ANY OTHER LAW, THE COMMISSIONER MAY RENEW AN
7 EXISTING MINERAL OR MINERAL MATERIALS LEASE WITHOUT PUBLIC AUCTION IF THE
8 COMMISSIONER DETERMINES THAT:

9 1. THE LESSEE IS IN SUBSTANTIAL COMPLIANCE WITH THE TERMS OF THE
10 LEASE.

11 2. RENEWAL IS IN THE BEST INTEREST OF THE TRUST.

12 3. RENEWAL IS SUPPORTED BY WRITTEN FIDUCIARY FINDINGS.

13 4. THE RENEWAL TERM IS FOR A TERM THAT IS AUTHORIZED BY STATE LAW.

14 B. A LEASE RENEWED PURSUANT TO THIS SECTION SHALL PROVIDE FOR A
15 ROYALTY RATE THAT IS ADJUSTED USING A MARKET-BASED INDEXING MECHANISM
16 ADOPTED BY THE DEPARTMENT.

17 C. THE INDEXING MECHANISM MAY INCLUDE PRODUCER PRICE INDICES,
18 REGIONAL OR STATEWIDE CONSTRUCTION AGGREGATE PRICE INDICES OR OTHER
19 OBJECTIVE, INDUSTRY-RECOGNIZED MARKET INDICATORS.

20 D. THE COMMISSIONER SHALL REVIEW INDEXED ROYALTY RATES AT INTERVALS
21 OF NOT MORE THAN FIVE YEARS.>>

22 Section. 1. Section 37-102, Arizona Revised Statutes, is amended to
23 read:

24 37-102. State land department; powers and duties

25 A. The state land department shall administer all laws relating to
26 lands owned by, belonging to and under the control of this state.

1 B. The department shall have charge and control of all lands owned
2 by this state, and timber, stone, gravel and other products of such lands,
3 except lands under the specific use and control of state institutions and
4 the products of such lands.

5 C. The department, in the name of this state, may commence,
6 prosecute and defend all actions and proceedings to protect the interest
7 of this state in lands within this state or the proceeds of lands within
8 this state. Actions shall be commenced and prosecuted at the request of
9 the department by the attorney general, a county attorney or a special
10 counsel under the direction of the attorney general.

11 D. The department shall be the official representative of this
12 state in any communication between this state and the United States
13 government in all matters respecting state lands or any interest of this
14 state in or to the public lands within this state.

15 E. The summons in any action against this state respecting any
16 lands of this state or the products of such lands and all notices
17 concerning such lands or products shall be served on the commissioner.
18 Summonses, warrants or legal notices served on behalf of the department
19 may be served by the commissioner or the commissioner's deputy, or by the
20 sheriff or a constable of any county of this state.

21 F. The department shall maintain as a public record in each of the
22 department's offices a public docket and index of all matters before the
23 department that may be subject to appeal to the board of appeals or to the
24 courts and all sale, exchange and lease transactions subject to bidding by
25 the public. The department shall list a matter on the public docket
26 immediately after an application or other request for department action is
27 received by the department. The department shall include in the public
28 docket every formal action and decision affecting each matter in
29 question. The department shall establish by rule a means by which any
30 person may obtain a copy of the public docket at the current copying cost.

31 G. The department shall reappraise or update the department's
32 original appraisal of property to be leased, exchanged or sold if the
33 board of appeals' approval of the lease or sale occurred more than two
34 hundred forty days before the auction.

35 H. To the extent possible, the state land department shall:

36 1. Prepare maps of the ancillary military facilities described in
37 section 28-8461, paragraph 7, subdivisions (b) and (c).

38 2. Make a map of the ancillary military facility described in
39 section 28-8461, paragraph 7, subdivision (a) available to the public in
40 printed or electronic format and provide the map in printed or electronic
41 format to the state real estate department.

42 3. On receipt of proper information from the military installation
43 commander with responsibility for the military electronics range, prepare
44 a map of the military electronics range as defined in section 9-500.28 and
45 make that map available to the public in printed or electronic format and
46 provide the map in printed or electronic format to the state real estate
47 department. Within ninety days after receipt of notice of any change in

1 the boundaries of the military electronics range from the military
2 installation commander, the state land department shall revise its map and
3 provide the map to the public and to the state real estate department.

4 4. On or before December 31, 2024 and on receipt of proper
5 information from the applicable military installation's and range's and
6 Arizona national guard site's commanders, prepare electronic legal
7 descriptions and maps of the military installation and range and Arizona
8 national guard site and their respective influence areas as defined in
9 sections 9-500.50 and 11-818.01 and provide the legal descriptions and
10 maps to the state real estate department and the public. The state land
11 department shall make changes to the boundaries of the military
12 installation and range and national guard site and their respective
13 influence areas and provide them to the state real estate department and
14 the public within ninety days after receipt of those changes from the
15 military installation's and range's and Arizona national guard site's
16 commanders.

17 ~~[5. RESTRICT THE USE OF A HOLDOVER LEASE TO NOT MORE THAN NINETY~~
18 ~~DAYS. A HOLDOVER TENANT WHOSE LEASE IS TERMINATED BY THE DEPARTMENT SHALL~~
19 ~~RECEIVE IMMEDIATE REIMBURSEMENT FOR THE FAIR MARKET VALUE OF ANY~~
20 ~~REASONABLE AND CUSTOMARY IMPROVEMENTS THAT THE HOLDOVER TENANT MADE TO THE~~
21 ~~STATE LAND.]~~

22 ~~6. FOR A LEASE RENEWAL AND SPECIAL LAND USE PERMIT:~~

23 ~~(a) APPROVE ANY IMPROVEMENTS THAT ARE REASONABLE AND CUSTOMARY IN~~
24 ~~THE LESSEE'S OR PERMITTEE'S COURSE OF BUSINESS. ON CONCLUSION OF THE~~
25 ~~LEASE OR SPECIAL LAND USE PERMIT, THE DEPARTMENT SHALL REIMBURSE THE~~
26 ~~LESSEE OR PERMITTEE FOR THE IMPROVEMENTS WITH MONIES FROM THE STATE LAND~~
27 ~~TRUST.]~~

28 ~~(b)] [5.] PROVIDE AMPLE NOTICE TO A LESSEE [OR PERMITTEE] [OF AN~~
29 ~~UNDERPERFORMING COMMERCIAL LEASE] BEFORE THE TERMINATION OF THE~~
30 ~~[UNDERPERFORMING COMMERCIAL] LEASE [OR SPECIAL LAND USE PERMIT].~~

31 I. The state land department shall provide each map and the legal
32 description of the boundaries of each ancillary military facility
33 described in section 28-8461, paragraph 7 in electronic format to the
34 state real estate department. Each map prepared by the state land
35 department pursuant to this section shall:

36 1. Describe the ancillary military facility, the territory in the
37 vicinity of the ancillary military facility and the high noise and
38 accident potential zone, accident potential zone one and accident
39 potential zone two associated with the ancillary military facility.

40 2. Be submitted to the county in which the ancillary military
41 facility is located.

42 3. Be made available to the public.

43 J. The state land department shall prepare a military training
44 route map. The map shall contain military training route numbers in this
45 state that are used by various United States armed forces. The map shall
46 be dated.

1 K. When preparing the military training route map, the state land
2 department shall use information contained in the most current department
3 of defense publication that is entitled "area planning military training
4 routes for North and South America".

5 L. The military training route map shall be made available to the
6 public.

7 M. Within ninety days after the department is notified of a change
8 of a military training route in this state, the department shall prepare a
9 revised military training route map. The map shall be dated and contain a
10 statement that the map supersedes all previously dated maps. The state
11 land department shall send the revised map to the state real estate
12 department electronically and shall also send an accompanying letter
13 specifying the military training route changes. The state land department
14 shall send the revised map and an accompanying letter specifying the
15 military training route changes to the municipalities affected by the
16 changes and to all counties.

17 N. The department shall submit the military training route map
18 prepared pursuant to this section to the counties in either an electronic
19 or a printed format. The format shall be determined by the receiving
20 county.

21 O. The state land department shall provide the legal description of
22 the boundaries of the military training routes as delineated in the
23 military training route map to the state real estate department in
24 electronic format.

25 P. The state land department shall prepare a military restricted
26 airspace map. The map shall contain military restricted airspace in this
27 state that is used by various United States armed forces. The map shall
28 be dated.

29 Q. When preparing the military restricted airspace map, the state
30 land department shall use information contained in the most current
31 department of transportation publication that is entitled "aeronautical
32 chart".

33 R. The military restricted airspace map shall be made available in
34 printed or electronic format to the public at the state land department
35 and at the state real estate department.

36 S. Within ninety days after the department is notified of a change
37 of military restricted airspace in this state, the department shall
38 prepare a revised military restricted airspace map. The map shall be
39 dated and contain a statement that the map supersedes all previously dated
40 maps. The state land department shall send the revised map to the state
41 real estate department electronically and shall also send an accompanying
42 letter specifying the military restricted airspace changes. The state
43 land department shall send the revised map and an accompanying letter
44 specifying the military restricted airspace changes to the municipalities
45 affected by the changes and to all counties.

46 T. The department shall submit the military restricted airspace map
47 prepared pursuant to this section to the counties in either an electronic

1 or a printed format. The format shall be determined by the receiving
2 county.

3 U. The state land department shall provide the legal description of
4 the boundaries of the military restricted airspace as delineated in the
5 military restricted airspace map to the state real estate department in
6 electronic format.

7 V. The department may accept title to and manage real estate,
8 property rights and related infrastructure acquired pursuant to section
9 26-262, subsection K for preserving or enhancing military installations in
10 this state.

11 <<Sec. 2. Title 37, chapter 2, article 4, Arizona Revised Statutes,
12 is amended by adding section 37-281.05, to read:

13 37-281.05. Lease of state lands for commercial purposes;
14 underperforming commercial leases; option to
15 purchase; auction; definitions

16 [A. NOTWITHSTANDING ANY OTHER LAW, THE COMMISSIONER SHALL
17 PRIORITIZE THE SALE OF STATE LANDS THAT ARE SUBJECT TO AN UNDERPERFORMING
18 COMMERCIAL LEASE IF THE LESSEE PROVIDES NOTICE TO THE DEPARTMENT THAT THE
19 LESSEE IS WILLING AND PREPARED TO PURCHASE THE PARCEL IN FEE SIMPLE
20 CONSISTENT WITH THIS SECTION.

21 B. A PERSON WHO HOLDS AN UNDERPERFORMING COMMERCIAL LEASE OR WHO
22 HELD AN UNDERPERFORMING COMMERCIAL LEASE THAT EXPIRED LESS THAN ONE YEAR
23 BEFORE THE DATE OF APPLICATION MAY APPLY TO PURCHASE THE UNDERPERFORMING
24 COMMERCIAL STATE LANDS. WITHIN EIGHTEEN MONTHS AFTER RECEIVING AN
25 APPLICATION SUBMITTED PURSUANT TO THIS SUBSECTION, THE COMMISSIONER SHALL
26 APPRAISE, ADVERTISE AND CAUSE THE UNDERPERFORMING COMMERCIAL STATE LANDS
27 TO BE SOLD AT PUBLIC AUCTION TO THE HIGHEST AND BEST BIDDER.

28 C. A PERSON WHO MEETS THE REQUIREMENTS OF THIS SECTION AND WISHES
29 TO PURCHASE THE UNDERPERFORMING COMMERCIAL STATE LANDS MAY DO EITHER OF
30 THE FOLLOWING:

31 1. SUBMIT A SINGLE APPLICATION FOR MULTIPLE ELIGIBLE PARCELS THAT
32 THE APPLICANT LEASES.

33 2. SUBMIT A SEPARATE APPLICATION FOR EACH ELIGIBLE PARCEL THAT THE
34 APPLICANT LEASES.

35 D. EACH PUBLIC AUCTION THAT THE COMMISSIONER HOLDS PURSUANT TO THIS
36 SECTION SHALL BE OPEN TO ALL ELIGIBLE BIDDERS FROM ALL COMMERCIAL LAND
37 USES. THE COMMISSIONER MAY NOT TAKE ANY ACTION DURING THE PUBLIC AUCTION
38 OR BEFORE THE PUBLIC AUCTION THAT INCREASES THE PROBABILITY OF A BIDDER
39 FROM ONE ELIGIBLE LAND USE WINNING THE PUBLIC AUCTION INSTEAD OF A BIDDER
40 FROM ANOTHER ELIGIBLE LAND USE.

41 E. IF AN APPLICANT'S UNDERPERFORMING COMMERCIAL LEASE EXPIRES OR IF
42 AN APPLICANT APPLIES TO RENEW THE UNDERPERFORMING COMMERCIAL LEASE DURING
43 THE EIGHTEEN-MONTH TIME FRAME ESTABLISHED PURSUANT TO THIS SECTION AND THE
44 APPLICANT DOES NOT WITHDRAW THE APPLICATION TO PURCHASE, THE COMMISSIONER
45 SHALL PROCEED WITH THE AUCTION.

46 F. A PERSON MAY NOT TRIGGER A PUBLIC AUCTION PURSUANT TO THIS
47 SECTION ON UNDERPERFORMING COMMERCIAL STATE LANDS IF THE PERSON DOES NOT

1 HOLD OR HAS NOT HELD AN UNDERPERFORMING COMMERCIAL LEASE OF THE STATE
2 LANDS SUBJECT TO APPLICATION IN THE PREVIOUS EIGHTEEN MONTHS BEFORE
3 APPLICATION.

4 G. FOR THE PURPOSES OF THIS SECTION:

5 1. "UNDERPERFORMING COMMERCIAL LEASE" MEANS A VALID LEASE OR A
6 VALID HOLDOVER LEASE OF UNDERPERFORMING COMMERCIAL STATE LANDS.

7 2. "UNDERPERFORMING COMMERCIAL STATE LANDS" MEANS A PARCEL OF STATE
8 LANDS THAT IS LEASED FOR COMMERCIAL PURPOSES AND THAT MEETS AT LEAST ONE
9 OF THE FOLLOWING CONDITIONS:

10 (a) THE SIZE OF THE PARCEL PREVENTS ITS INDEPENDENT DEVELOPMENT.

11 (b) THE PARCEL IS LANDLOCKED.

12 (c) THE PARCEL LACKS ON-SITE INFRASTRUCTURE OR SERVICES NECESSARY
13 TO INDEPENDENTLY SUSTAIN THE PARCEL'S DEVELOPMENT.

14 (d) THE ANNUAL BASE RENT ON THE PARCEL IS BELOW AN ACCEPTABLE
15 PERCENTAGE OF THE APPRAISED FAIR MARKET VALUE OF THE PARCEL AS DETERMINED
16 BY THE COMMISSIONER.

17 (e) THE RATE OF APPRECIATION IN LAND VALUE ON THE PARCEL IS FASTER
18 THAN THE RATE OF INCREASE IN ANNUAL BASE RENT ON THE PARCEL.

19 (f) THE APPRAISED FAIR MARKET VALUE OF THE APPROVED REIMBURSABLE
20 IMPROVEMENTS ON THE PARCEL EXCEEDS THE APPRAISED FAIR MARKET VALUE OF THE
21 PARCEL SUCH THAT THE VALUE OF THE IMPROVEMENTS WILL REDUCE THE SALE VALUE
22 TO THE TRUST BY A PERCENTAGE DEEMED UNACCEPTABLE TO THE COMMISSIONER.]]>>

23 Sec. 3. ~~Legislative findings~~

24 The legislature [, as the trustee of the Arizona state land trust.]
25 finds that:

26 ~~[1. Minerals and common variety minerals exist where they are.~~

27 ~~2. Minerals and common variety minerals are needed for all forms of~~
28 ~~commercial development on state trust lands, including affordable housing~~
29 ~~and semiconductor fabrication.~~

30 ~~3. Development that occurs over state trust lands that contains~~
31 ~~minerals permanently locks away those minerals, preventing the minerals~~
32 ~~from being extracted and permanently foreclosing their revenues from~~
33 ~~accruing to the trust.~~

34 ~~4. Mineral extraction is subject to reclamation plans that restore~~
35 ~~the land to its previous condition before extraction occurred and this~~
36 ~~makes the land usable for other commercial uses once mining is completed.~~

37 ~~5. Pursuant to the Arizona Constitution and the Enabling Act, the~~
38 ~~extraction of minerals must occur before any other commercial land use.]~~

39 ~~[1. Over an extended period the state land department has created a~~
40 ~~significant number of underperforming commercial leases of state lands.~~

41 ~~2. Underperforming commercial leases burden the state land~~
42 ~~department with excessive costs and management responsibilities and~~
43 ~~generate insufficient returns to the state land trust.~~

44 ~~3. Continually renewing underperforming commercial leases merely~~
45 ~~perpetuates the management costs and burdens and is not in the best~~
46 ~~interest of this state or in the best interest of the state land trust.~~

1 4. The highest and best use of state trust lands that are subject
2 to underperforming commercial leases is to allow the state trust lands to
3 be sold at public auction to the highest and best bidder.

4 5. This act is necessary to ensure the best interest of the state
5 land trust, state land trust beneficiaries and this state.]

6 Enroll and engross to conform

7 Amend title to conform

TIMOTHY "TIM" DUNN

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